# Basic Product Management Cheat Sheet

## 1. Key Product Management Terms

- **Product Vision**: A high-level view of what the product aims to achieve and how it fits into the company's strategy.
- **Product Roadmap**: A visual summary of the product's strategy, showing key milestones and features planned for development over time.
- **MVP (Minimum Viable Product)**: A version of a product with enough features to attract early adopters and validate product-market fit.
- **User Persona**: A semi-fictional character that represents the target audience for a product, helping guide design and development decisions.
- **Product Lifecycle**: The stages a product goes through from inception to decline: Introduction → Growth → Maturity → Decline.

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## 2. Must-Know Product Concepts

- **Product-Market Fit (PMF)**: Achieved when a product satisfies the needs of a well-defined market, leading to strong customer demand.
- **Product Vision vs. Product Strategy**: Product vision is the "why" and "what" of a product; strategy is the "how" and "when" of executing that vision.
- **Feature Prioritization**: The process of deciding which product features to build next, often using frameworks like **MoSCoW** (Must have, Should have, Could have, Won't have) or **RICE** (Reach, Impact, Confidence, Effort).
- **Customer Feedback Loop**: A continuous process where customer insights are gathered, analyzed, and used to improve the product.

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## 3. Key Metrics for Product Managers

- **Customer Acquisition Cost (CAC)**: The cost associated with acquiring a new customer. Formula: CAC = Total Marketing & Sales Costs / Number of New

Customers Acquired

- **Customer Lifetime Value (CLV)**: The total revenue a business expects to earn from a customer during their relationship with the company. Formula: CLV = Average Purchase Value × Purchase Frequency × Customer Lifespan

- **Churn Rate**: The percentage of customers who stop using a product over a given period. Formula: Churn Rate = (Customers Lost / Total Customers at the Start) × 100

- **Net Promoter Score (NPS)**: Measures customer loyalty and satisfaction. Formula: NPS = % Promoters - % Detractors

- **Monthly Active Users (MAU)** / **Daily Active Users (DAU)**: Measures the number of unique users engaging with the product over a specific time frame.

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## 4. Product Development Frameworks

- **Agile**: An iterative approach to product development, focusing on flexibility and frequent releases of small, working product increments.

- **Scrum**: A popular Agile methodology where work is organized into sprints, and teams meet regularly for sprint planning, reviews, and retrospectives.

- **Lean Product Development**: Focuses on creating a product with minimal resources, using customer feedback to quickly iterate and pivot when needed.

- **Waterfall**: A traditional, linear approach to product development, where each phase must be completed before moving to the next.

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## 5. Common Product Management Tools

- **Jira**: A project management tool often used for Agile workflows to track product development progress.

- **Trello**: A visually simple tool for managing tasks and projects with boards, lists, and cards.

- **Aha!**: A roadmap and product management software for creating and sharing product roadmaps.
- **Intercom**: A customer communication tool that helps collect feedback, manage support, and analyze user behavior.
- **Mixpanel**: A product analytics tool used to track user interactions with products to gain insights into engagement and retention.

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## 6. Key Formulas at a Glance

- **Customer Acquisition Cost (CAC)**: Formula: CAC = Marketing and Sales Costs / New Customers
- **Customer Lifetime Value (CLV)**: Formula: CLV = Average Revenue per Customer × Customer Lifespan
- **Churn Rate**: Formula: Churn Rate = (Lost Customers / Total Customers at Start) × 100
- **Retention Rate**: Formula: Retention Rate = ((Customers at End of Period - New Customers) / Customers at Start of Period) × 100

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## 7. Quick Tips for Product Management

- When Prioritizing Features: Use frameworks like MoSCoW or RICE to objectively decide what's most important for your users and business.
- For Product Market Fit: Focus on continuous customer feedback and iterate based on pain points and needs.
- Always Align with Stakeholders: Maintain clear communication with marketing, sales, and customer support teams to ensure the product aligns with broader company goals.
- Use Data Wisely: Monitor key metrics (like NPS, CLV, and churn) to measure the success of the product and make data-driven decisions.